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INTRODUCTION

This document presents detailed, exam-style model answers to three past BBM 433 (Retail and Merchandise Management) papers: April 2024, April 2023 and July 2025. Each question is reproduced verbatim and followed immediately by a structured, examiner-friendly answer that covers the key concepts, frameworks and Kenyan examples expected at degree level. Use this document for active revision: read the question, attempt your own answer, then compare with the model answer and refine your structure.

PAPER ONE — APRIL 2024

Instructions: Question One is compulsory. Answer any other three questions.

QUESTION ONE [Compulsory]

(a) Define the following terms: Retailing, Merchandise, Merchandise Management, Merchandise Assortment. ***(2 marks each = 8 marks)***

Answer:

- **Retailing:** The set of business activities involved in selling goods and services directly to the final consumer for personal, family or household use. It is the last link in the distribution chain (e.g. Naivas, Quickmart, Carrefour, Jumia, the local duka).
- **Merchandise:** The actual physical goods (or, in modern usage, the goods and services) that a retailer offers for sale — the inventory carried in stores or on a website (e.g. groceries on Naivas' shelves, fashion on Vivo Activewear's racks).
- **Merchandise Management:** The strategic process of planning, buying, pricing, displaying and managing the goods a retailer sells so as to maximise sales and profit while satisfying customer needs. It covers the "5 Rights" — right product, right place, right time, right quantity, right price.
- **Merchandise Assortment:** The complete range of products offered by a retailer, described by two dimensions — breadth (number of different categories carried) and depth (number of SKUs/variants within each category). E.g. Carrefour has a wide-and-deep assortment; a kiosk has a narrow-and-shallow one.

(b) Discuss the wheel of retailing using examples here in Kenya. ***(10 marks)***

Answer:

The Wheel of Retailing is a theory developed by Malcolm McNair in 1958 that explains how new retail formats enter the market and evolve over time. The theory likens the evolution of retail formats to a turning wheel that goes through three phases: entry, trading-up, and vulnerability.

- **1. Entry Phase (Low-Status, Low-Price, Low-Margin):** New retailers enter the market as no-frills, low-cost operators with simple stores, narrow assortments and aggressive pricing. They target price-sensitive shoppers. In Kenya, Tuskys originally entered the market in this way, as did Naivas — basic stores, every-day-low-price proposition, focus on volume.
- **2. Trading-Up Phase:** As they grow, these retailers add facilities, services, wider assortments, better store ambience, fresh-food sections, in-house bakeries, loyalty programs and home delivery. Margins and prices rise. Today's Naivas Hypermart in Westlands or Two Rivers is a completely different proposition from the original Naivas of the 1990s — smart layouts, butchery, sushi bar, Naivas Now app, BOPIS.
- **3. Vulnerability Phase:** Having traded up, the retailer becomes vulnerable to a new wave of low-cost entrants who repeat the cycle. Quickmart, Chandarana FoodPlus discount tiers, and now Naivas Easy/Naivas Mtaa Wetu, Carrefour Express and the rapid expansion of mama-mboga delivery apps (Twiga, Greenspoon) are pulling price-sensitive shoppers back to no-frills formats — leaving the incumbents to defend with brand, experience and omnichannel.

Limitations: the theory does not explain the entry of high-end formats (Two Rivers Mall luxury boutiques, the Sarit Centre re-launch) which entered at the top, not the bottom; nor does it fully account for digital-first entrants like Jumia or Copia. Nevertheless, it remains a powerful lens for understanding the long-run dynamics of Kenyan modern trade.

(c) Discuss the various ways a consumer can purchase goods from the retailer. ***(7 marks)***

Answer:

In the modern omnichannel environment a consumer has many paths to purchase. The main ones are:

- **In-store (brick-and-mortar) purchase:** The traditional model — customer walks in, selects goods, pays at the till. Still ~80% of Kenyan retail.
- **Online purchase with home delivery:** Customer orders via website or app; goods are delivered (Jumia, Kilimall, Naivas Now, Carrefour app, Glovo Market).
- **BOPIS (Buy Online, Pick Up In Store):** Order online, collect from the nearest branch — saves delivery cost. Increasingly offered by Carrefour and Naivas.
- **Click-and-Collect / Curbside pickup:** Variation of BOPIS where staff bring the order to the customer's car.
- **Telephone / WhatsApp order:** Common in Kenyan SMEs — customer messages on WhatsApp Business, pays via M-PESA, receives delivery by boda-boda.
- **Social commerce:** Buying directly from Instagram, TikTok Shop or Facebook Marketplace.
- **Vending machines & kiosks:** Self-service points (e.g. PesaPoint, Naivas vending in CBD).
- **Subscription / auto-replenishment:** Recurring deliveries (e.g. milk subscriptions, Greenspoon weekly veg boxes).
- **Direct selling / door-to-door:** Avon, Tupperware, Tianshi — sales agents bring product to the customer.

- **Mobile commerce via M-PESA:** Cuts across most channels — STK push, Pay Bill, Buy Goods — making digital purchase frictionless for the unbanked.

QUESTION TWO [15 marks]

(a) Nowadays customers have the option of shopping while sitting at home. They can place their order through the internet, pay with debit/credit cards and have products delivered to their home. Discuss the advantages and disadvantages associated with this type of retailing (e-tailing). ***(8 marks)***

Answer:

Advantages of E-tailing

- **Convenience:** 24/7 shopping from anywhere; no traffic, queues or parking issues.
- **Wider assortment:** Endless aisle — far more SKUs than any physical store could carry.
- **Price comparison & transparency:** Shoppers can compare across Jumia, Kilimall and Carrefour in seconds.
- **Personalisation:** AI-driven recommendations based on browsing and purchase history.
- **Lower overheads for retailers:** No need for prime-location physical space, smaller staff footprint.
- **Geographic reach:** A single Nairobi-based store can serve the whole country (and beyond) via courier.
- **Rich data:** Every click, search and abandoned cart is captured for future targeting.

Disadvantages of E-tailing

- **No tactile experience:** Cannot feel fabric, smell perfume or test-fit shoes — hence high return rates in fashion.
- **Delivery delays & last-mile costs:** Especially outside Nairobi/Mombasa where logistics remain expensive.
- **Cyber-security & fraud risk:** Card fraud, phishing, fake websites; shaken consumer trust in some markets.
- **Returns & reverse-logistics complexity:** Costly and operationally hard to handle.
- **Digital divide:** Excludes consumers without smartphones, data or banking access.
- **Lack of immediate gratification:** Customers must wait for delivery instead of walking out with the product.
- **Counterfeit risk:** Particularly on open marketplaces — fake electronics, cosmetics, supplements.

(b) Elaborate on the "Darwin's Theory of Retailing". ***(7 marks)***

Answer:

Darwin's Theory of Retailing — also called the theory of "Natural Selection in Retailing" — applies Charles Darwin's biological concept of "survival of the fittest" to the retail industry. The theory was popularised by Davidson, Sweeney and Stampfl in the 1970s and argues that retail formats, like organisms, must continuously adapt to changes in their environment or face extinction.

Key Tenets of the Theory

- **Environmental change is constant:** Consumer tastes, technology, regulation, competition and economic conditions are always shifting.
- **Adaptation is the key to survival:** Retailers that adjust their formats, assortments, prices, channels and service propositions in line with environmental change will thrive.

- **Failure to adapt = extinction:** Retailers who cling to outdated formats lose relevance and die. Globally, Sears, Toys "R" Us, Blockbuster and Mothercare are textbook examples; in Kenya, Nakumatt's collapse in 2018 — once the largest retailer — is the classic case of failing to adapt to changing competitive and financial conditions.
- **New formats emerge to fill gaps:** Just as new species evolve, new retail formats (supermarkets in the 1950s, hypermarkets in the 1970s, e-commerce in the 1990s, social commerce and super-apps today) emerge to satisfy needs that incumbents cannot.

Implications for Kenyan retailers: continuous environmental scanning (PESTEL), willingness to experiment with new formats (Naivas' rapid roll-out of small-format Naivas Mtaa Wetu, Carrefour Express convenience stores), and investment in digital channels and customer data are no longer optional — they are the conditions for survival.

QUESTION THREE [15 marks]

(a) Explain the systematic process of retailing. ***(8 marks)***

Answer:

The systematic process of retailing is the structured set of decisions and activities a retailer follows from identifying market opportunity through to delivering goods to the final customer. The eight key stages are:

- **1. Environmental scanning:** PESTEL + Porter's 5-Forces analysis of the macro and micro environment to spot opportunities and threats.
- **2. Market research & target-customer definition:** Segmentation by demographic, geographic, psychographic and behavioural variables; choice of target segment.
- **3. Strategic planning & format choice:** Decide retail mix — store format, location, positioning, value proposition.

- **4. Merchandise planning & sourcing:** Forecast demand, build the assortment, negotiate with suppliers, place purchase orders, manage Open-to-Buy.
- **5. Logistics & inventory management:** Receive goods at the DC, distribute to stores, manage stock levels, replenish.
- **6. Store operations & visual merchandising:** Layout, planogram, pricing, signage, staffing, service standards.
- **7. Marketing, promotion & customer engagement:** Advertising, loyalty programs, digital marketing, CRM.
- **8. Performance measurement & continuous improvement:** Track KPIs (SSS, GMROI, AOV, NPS), gather feedback, refine the offer. Loop back to step 1.

(b) Expound on the duties of a retailer and that of a consumer. ***(7 marks)***

Answer:

Duties of the Retailer

- **Stock the right merchandise:** Carry assortments that match the target market's needs.
- **Provide accurate product information:** Honest labelling, pricing, ingredients, expiry dates, usage instructions.
- **Fair pricing:** No price gouging, deceptive promotions or hidden charges; comply with the Consumer Protection Act and Kenya Bureau of Standards (KEBS) requirements.
- **Quality assurance & safety:** Ensure goods are genuine, safe and within shelf-life.
- **After-sales service:** Honour warranties, accept legitimate returns, handle complaints fairly.

- **Maintain a safe shopping environment:** Clean, well-lit stores; trained staff; fire-safety compliance.
- **Respect data privacy:** Protect customer information collected through loyalty cards, M-PESA receipts and apps.

Duties of the Consumer

- **Pay the agreed price promptly:** Settle in cash, card or M-PESA without dispute.
- **Inspect goods before/at purchase:** Check expiry, packaging integrity, accuracy of change.
- **Handle merchandise with care:** Avoid damaging goods on display.
- **Honest behaviour:** No shoplifting, fraudulent returns or false claims.
- **Provide constructive feedback:** Reasonable complaints help retailers improve.
- **Respect store policies and staff:** Follow queueing, mask, and conduct rules.
- **Know and assert their rights:** Under the Consumer Protection Act 2012, consumers have rights to safety, information, choice, redress and a healthy environment.

QUESTION FOUR [15 marks]

Discuss eight (8) types of retail outlets and also the type of merchandise they stock for their customers. ***(15 marks)***

Answer:

Retail outlets can be classified by the breadth and depth of their assortments, their service level and their pricing strategy. Eight major types are:

- **1. Department Stores:** Large-format stores organised into departments; carry a wide and deep assortment of clothing, cosmetics, household goods, electronics and furniture. Examples: Deacons (now closed) and historic Mothercare and Woolworths in Kenya. Globally — Macy's, Selfridges.
- **2. Supermarkets:** Self-service stores carrying a wide range of food, beverages, household and personal-care items at competitive prices. Examples: Naivas, Quickmart, Chandarana FoodPlus.
- **3. Hypermarkets:** Very large stores combining supermarket + general merchandise (electronics, apparel, furniture) under one roof. Examples: Carrefour Two Rivers, Naivas Hypermart Westlands.
- **4. Convenience Stores:** Small-format, long-hours stores stocking high-turnover daily essentials — bread, milk, snacks, soft drinks, top-up airtime. Examples: Naivas Mtaa Wetu, Quickmart Express, Shell Select, Total Bonjour.
- **5. Specialty Stores:** Narrow but very deep assortment in a single product category. Examples: Bata (footwear), Vivo Activewear (women's fashion), Hotpoint (electronics), Toi Market traders specialising in one item.
- **6. Discount Stores:** Carry a broad assortment at low prices and low service. Examples: Mwananchi Wholesale, Eastmatt, Naivas Easy.
- **7. Warehouse / Cash-and-Carry Clubs:** Bulk-buying outlets serving small businesses and large households. Examples: Mahitaji Cash & Carry, Eastmatt Wholesale.
- **8. Online / E-tailers:** Pure-play digital retailers carrying broad, deep assortments delivered to customers' doorsteps. Examples: Jumia, Kilimall, Copia, Sky.Garden.

Other notable formats include category killers (large specialty stores like Game stores in their hey-day), factory outlets (Bata Industrials), pop-up

stores (Vivo seasonal pop-ups in Sarit Centre), and food/service retailers (KFC, Java House).

QUESTION FIVE [15 marks]

According to the concept of retailing, a retailer doesn't sell products in bulk; instead sells the merchandise in small units to the end-users. Explain the conditions available to Manufacturer Suggested Retail Price (MSRP) (also called List Price or Recommended Retail Price). ***(15 marks)***

Answer:

The Manufacturer Suggested Retail Price (MSRP) — also called the List Price or Recommended Retail Price (RRP) — is the price at which the manufacturer recommends that the retailer sell the product to the end consumer. It is printed on the product, in the catalogue or in the manufacturer's price list. Whether and how a retailer can apply MSRP depends on a set of conditions:

Key Conditions Surrounding MSRP

- **1. Recommendation, not obligation:** In most jurisdictions (including Kenya under the Competition Act 2010) MSRP is a suggestion only; forcing a retailer to sell at MSRP — known as Resale Price Maintenance (RPM) — is generally illegal as it restricts competition.
- **2. Branded and consumer-recognisable products:** MSRP works best on well-known branded merchandise (electronics, vehicles, books, pharmaceuticals) where consumers can compare prices across retailers.
- **3. Adequate distribution margin:** The MSRP must include enough margin between the manufacturer's wholesale price and the MSRP to cover the retailer's operating costs and profit; otherwise retailers will refuse to stock.

- **4. Stable supply & cost environment:** MSRP relies on predictable input costs. In high-inflation or currency-volatile markets like Kenya, MSRPs are revised frequently or replaced with "price on application".
- **5. Anti-counterfeit & price-protection benefits:** MSRP signals a fair benchmark, helping consumers identify suspiciously low prices that may indicate counterfeits (common with electronics, cosmetics).
- **6. Used as a reference for promotions:** Retailers commonly advertise discounts as "X% off RRP" or "Was Ksh 4,999, Now Ksh 3,499". Consumer protection regulators require the original RRP to be genuine and in recent use, otherwise the promotion is deceptive.
- **7. Channel-conflict management:** Manufacturers use MSRP to discourage destructive price wars between their distributors and retailers.
- **8. Brand-positioning safeguard:** Premium brands (Apple, Sony, Mercedes-Benz) enforce MSRP-aligned policies to protect brand equity from discounting.
- **9. Discount tolerance:** MSRP allows retailers to discount downwards (sales, clearance) but not upwards on most goods; in price-controlled categories (e.g. petroleum in Kenya, regulated by EPRA) the cap is statutory.
- **10. Information asymmetry reduction:** In categories where consumers cannot easily judge value (e.g. medicines), MSRP provides a trust anchor.

In summary, MSRP is a guidance instrument that balances manufacturer interests (brand equity, channel discipline, consumer trust) with retailer freedom (the right to discount). It works best for branded, consumer-recognisable goods in stable cost environments, and must be applied within competition-law boundaries.

QUESTION SIX [15 marks]

What do you understand by the prestige pricing model? Under what circumstances can a retailer apply this model to their merchandise? ***(15 marks)***

Answer:

Definition

Prestige pricing — also called premium pricing or image pricing — is a pricing strategy in which a retailer deliberately sets a high price for its merchandise to signal superior quality, exclusivity, status and desirability. The high price is itself part of the value proposition: the consumer interprets the price as a quality cue and as a badge of social standing. It leverages Veblen-good behaviour, where demand actually rises as price rises, contradicting the standard demand curve.

How Prestige Pricing Works

- **Quality signalling:** Customers use price as a heuristic for quality when they cannot easily evaluate the product technically.
- **Status & identity:** High-price products confer social status (Veblen effect) — owning a Rolex, Apple iPhone Pro Max, or a designer handbag signals success.
- **Exclusivity:** High prices restrict the customer base, preserving a sense of rarity (Snob effect).
- **High margin / lower volume:** The retailer earns a high margin per unit, compensating for lower transaction volumes.

Circumstances Where a Retailer Can Apply Prestige Pricing

- **1. Strong, prestigious brand equity:** The brand must have demonstrable heritage, craftsmanship, design or scarcity (e.g. Apple, Mercedes-Benz, Rolex, Louis Vuitton). In Kenya, high-end car

dealers like DT Dobie, premium watch retailers in Two Rivers Mall, and Sarova/Fairmont hospitality outlets apply prestige pricing.

- **2. Affluent target market:** A clearly identifiable upper-income segment willing and able to pay (Nairobi's upper-middle class, expatriate community, top-end SMEs).
- **3. Differentiated, hard-to-compare product:** Goods where quality is genuinely superior or where comparison is difficult (luxury fashion, fine wine, jewellery, premium cosmetics).
- **4. Limited supply / scarcity:** Hand-made, limited-edition or imported goods. Scarcity supports the high-price narrative.
- **5. Premium retail environment:** Stores must reinforce the premium position — plush décor, attentive personal service, premium packaging, exclusive locations (Westgate, Sarit, Two Rivers, Village Market).
- **6. Strong promotional & PR support:** Aspirational advertising, celebrity endorsement, high-end events. Mass-market promotion would dilute the prestige.
- **7. Weak price-elasticity in the segment:** Demand is relatively insensitive to price — even inelastic, in Veblen-good categories.
- **8. Service and after-sales excellence:** Premium clients expect concierge-level service, home delivery, loyalty privileges and seamless after-sales.
- **9. Long-term brand-building objective:** The retailer is willing to forgo short-term volume for long-term brand equity.
- **10. Stable competitive landscape:** Few or no aggressive low-price competitors in the same niche.

Risks include alienating mass-market customers, vulnerability to economic downturns (luxury demand falls fastest in recessions), and reputational damage if quality fails to match price. When applied with

discipline, however, prestige pricing builds enduring margin pools and brand defensibility — which is why the world's most valuable consumer brands rely on it.

PAPER TWO — APRIL 2023

Instructions: Answer Question One and any other three questions.

QUESTION ONE [Compulsory — 25 marks]

(a) Explain the functions of retailing. ***(5 marks)***

Answer:

- **Provision of an assortment:** Retailers gather products from many manufacturers into one convenient assortment so customers can one-stop-shop.
- **Breaking bulk:** Retailers buy in large quantities and resell in small consumer-friendly units.
- **Holding inventory:** Stocks are held so customers can buy at the moment of need rather than wait for a manufacturing run.
- **Providing services:** Information, advice, after-sales support, returns, credit, delivery, installation.
- **Place and time utility:** Goods are made available at the right place (near the consumer) and the right time (when needed).
- **Bridging the producer-consumer gap:** Retailers communicate consumer feedback back to manufacturers, supporting product improvement.

(b) Discuss store retailers and non-store retailers. ***(10 marks)***

Answer:

Store Retailers

Store retailers operate from a fixed physical location (shop, supermarket, mall stand) where customers visit to browse and buy. The store itself is the primary marketing asset: location, layout, ambience, staff and merchandise come together to create the brand experience.

- **Types include:** Department stores, supermarkets, hypermarkets, convenience stores, specialty stores, discount stores, warehouse clubs, category killers, factory outlets and food-service retailers.
- **Strengths:** Tactile experience, immediate possession, personal service, brand showcase, social experience.
- **Weaknesses:** High rent and labour costs, geographic limitations, fixed opening hours.
- **Kenyan examples:** Naivas, Quickmart, Carrefour, Bata, Hotpoint, KFC, Java House.

Non-Store Retailers

Non-store retailers reach customers without a fixed physical store. The transaction happens via direct channels — mail, phone, internet, vending, door-to-door, or automatic.

- **Types include:** Direct selling (Avon, Tianshi), direct marketing (catalogues, telemarketing), automated vending machines, online retailing/e-tailing (Jumia, Kilimall), social commerce, TV shopping, subscription boxes.
- **Strengths:** Wider geographic reach, lower overheads, 24/7 availability, rich data capture, scalability.
- **Weaknesses:** No tactile experience, delivery dependency, higher return rates, cyber-security and trust issues, last-mile cost.
- **Kenyan examples:** Jumia, Kilimall, Copia, Glovo Market, Naivas Now, WhatsApp/Instagram boutiques, Twiga Foods (B2B mobile app).

(c) Describe the five major bases for classifying retail outlets. ***(5 marks)***

Answer:

- **1. Form of ownership:** Independent, chain stores, franchises, cooperatives, consumer cooperatives, leased departments.
- **2. Merchandise carried (assortment):** Breadth and depth — convenience, supermarket, specialty, department store, hypermarket.
- **3. Pricing strategy:** EDLP (every-day-low-pricing) vs High-Low; discount, off-price, full-price, prestige.
- **4. Service level:** Self-service (Naivas), self-selection, limited service, full service (boutiques, jewellers).
- **5. Location:** Central Business District (CBD), shopping malls, neighbourhood / strip locations, free-standing, online (no physical location).

(d) Explain the key financial records that a retail manager should keep at all times. ***(5 marks)***

Answer:

- **Sales records / Daily Sales Reports (DSR):** Track turnover by department, SKU, payment method and time-of-day.
- **Cash book / Petty cash book:** Record of cash received and cash paid out.
- **Purchases / Payables records:** Invoices from suppliers, GRNs (Goods Received Notes), and outstanding amounts owed.
- **Inventory / Stock records:** Stock-on-hand, GRN, stock-out, stock-take, shrinkage and aged stock.
- **Income Statement (P&L):** Periodic record of revenue, COGS, expenses and net profit.
- **Balance Sheet:** Statement of assets, liabilities and equity at a point in time.
- **Cash-Flow Statement:** Operating, investing and financing cash flows.

- **Payroll & statutory records:** Salaries, NSSF, NHIF/SHA, PAYE, NITA.
- **Tax records:** VAT (KRA iTax), corporation tax, withholding tax, turnover tax for SMEs.

QUESTION TWO [15 marks]

(a) List and explain the many types of retail outlets. ***(10 marks)***

Answer:

- **Department Store:** Wide-and-deep assortment organised in departments (historically: Selfridges, Macy's).
- **Supermarket:** Self-service food and household goods (Naivas, Quickmart).
- **Hypermarket:** Supermarket + general merchandise + apparel + electronics under one roof (Carrefour, Naivas Hypermart).
- **Convenience Store:** Small, long hours, top-up shopping (Naivas Mtaa Wetu, Shell Select).
- **Specialty Store:** Narrow but deep — single category (Bata, Vivo Activewear, Hotpoint).
- **Discount Store:** Broad assortment at low price (Mwananchi, Eastmatt).
- **Off-Price Retailer:** Brand-name goods at deep discounts (factory outlets, end-of-season clearance hubs).
- **Warehouse / Cash & Carry:** Bulk format for SMEs (Mahitaji, Eastmatt Wholesale).
- **Category Killer:** Large specialty store dominating one category (Game stores at peak; Mr Price Home for furniture).
- **Factory Outlet:** Manufacturer-owned discount store (Bata Industrials).
- **Online / E-Tailer:** Pure-play digital — Jumia, Kilimall, Copia.

- **Pop-Up Store:** Temporary, event-driven physical store (Vivo pop-ups, Black Friday container shops).
- **Food Service / QSR:** Restaurants, fast-food outlets — KFC, Java House, Pizza Inn.

(b) Apart from independent retail stores, list and discuss four (4) other types of retail store ownership. ***(5 marks)***

Answer:

- **1. Chain Stores (Corporate Chains):** A single owner operates two or more outlets under a common name, central buying and uniform merchandising. Benefits include economies of scale, brand consistency and bargaining power (e.g. Naivas, Quickmart, Carrefour).
- **2. Franchise Stores:** The franchisor licences its brand, systems and know-how to a franchisee in exchange for fees and royalties; the franchisee invests capital and operates locally (e.g. KFC, Java House, Subway, Total Bonjour, Pizza Inn).
- **3. Cooperative Retail Stores:** Owned and managed by members (consumers or producers) who share profits as patronage dividends. The Kenya National Federation of Cooperatives represents many; SACCOs sometimes run consumer outlets.
- **4. Leased Department / Concession Stores:** A retailer leases part of its store to a specialist operator who runs that department (e.g. cosmetics counters in department stores, restaurants and barber shops within Naivas hypermarkets, mobile-phone counters within Carrefour).

QUESTION THREE [15 marks]

(a) Based on the length and breadth of product assortment, list and describe six (6) types of retail outlets. ***(10 marks)***

Answer:

Breadth = number of different product categories; Length/Depth = number of items within each category. Combining these two dimensions gives six characteristic retail formats:

- **1. Convenience Store (Narrow & Shallow):** Few categories, few items per category — top-up essentials. Naivas Mtaa Wetu, Shell Select.
- **2. Specialty Store (Narrow & Deep):** One category, many items/variants. Bata for shoes, Vivo Activewear for women's fashion, Hotpoint for electronics.
- **3. Limited-line Store (Narrow & Moderate):** Focuses on a few related categories with moderate depth — e.g. baby-shop, pet-shop, photo-studio.
- **4. Supermarket (Wide & Moderate):** Wide range of food, beverage, household and personal-care categories with moderate depth per category. Naivas, Quickmart, Chandarana FoodPlus.
- **5. Department Store (Wide & Deep):** Many categories (apparel, cosmetics, household, electronics) with deep assortment in each — historically Macy's, Selfridges; in Kenya the closest current example is Carrefour's general-merchandise floor.
- **6. Hypermarket / Superstore (Very Wide & Deep):** Combines supermarket + department-store + electronics + furniture under one roof — Carrefour Two Rivers, Naivas Hypermart Westlands, Quickmart Hypermart.

(b) Explain the role of visual merchandising. ***(5 marks)***

Answer:

Visual Merchandising (VM) is the strategic presentation of products in a retail environment to attract attention, communicate brand and drive sales. Its key roles are:

- **Capture attention:** Eye-catching window displays and end-caps stop passers-by and pull them into the store.
- **Communicate brand identity:** Colour palette, signage, props and lighting tell the brand story (e.g. Apple's minimalism, Lululemon's wellness vibe, Vivo's vibrant African prints).
- **Direct customer flow:** Layout, sight-lines and focal points guide shoppers around the store and past key categories.
- **Stimulate impulse purchase:** Cross-merchandising (e.g. wine next to cheese, sun-cream next to swimwear) and check-out displays lift basket size.
- **Educate and inform:** POP signage explains features, benefits and prices so customers self-serve confidently.
- **Support promotions:** Themed displays for Christmas, Eid, Back-to-School, Valentines drive seasonal lift.
- **Maximise space productivity:** Sales-per-square-foot rises when fixtures, planograms and displays are optimised.

QUESTION FOUR [15 marks]

(a) Discuss factors to be considered when choosing a retail location. ***(8 marks)***

Answer:

- **1. Customer demographics & catchment:** Population size, income, age, family-life-cycle and lifestyle of the surrounding area must match the retailer's target market.
- **2. Footfall and traffic:** High pedestrian and vehicular traffic — CBDs, busy malls, transport hubs (Globe Roundabout, OTC, Westlands, Eastleigh).
- **3. Visibility and accessibility:** Easy to see from the road, easy to enter; adequate parking and matatu/bus access.

- **4. Competition:** Proximity of competitors (cluster benefit for comparison shopping vs cannibalisation risk).
- **5. Co-tenancy / anchor stores:** In malls, presence of complementary anchor tenants (Naivas, Carrefour, KFC) drives traffic to satellite stores.
- **6. Cost factors:** Rent, service charge, set-up, fit-out and utilities; must be sustainable relative to expected sales/sq ft.
- **7. Legal & zoning compliance:** County licences, change-of-use permits, fire-safety, NEMA approvals.
- **8. Infrastructure:** Reliable electricity, water, internet, security, waste disposal.
- **9. Future development of the area:** Roads, BRT, real-estate growth (e.g. Tatu City, Konza, Northlands).
- **10. Brand fit:** Premium brands need premium locations (Two Rivers, Sarit, Village Market); discount brands need high-density, lower-rent areas.

(b) With relevant examples, enumerate dynamics in retail business. ***(7 marks)***

Answer:

The retail business is highly dynamic — constantly shaped by shifts in technology, consumer behaviour and the competitive landscape. The key dynamics are:

- **1. Digital and mobile transformation:** Move from purely physical to omnichannel; e.g. Naivas Now app, Carrefour app, Jumia.
- **2. Rise of mobile money:** M-PESA STK push, Lipa Na M-PESA and pay-bill have made digital payments universal in Kenya.
- **3. Changing consumer expectations:** Today's shopper expects speed, convenience, personalisation and value.

- **4. Format innovation:** Small-format convenience stores, dark stores, pop-ups and 15-minute delivery (Glovo, Jumia Express).
- **5. Data-driven merchandising:** Loyalty data, AI recommendations and dynamic pricing.
- **6. Supply-chain disruption:** COVID-19, Russia-Ukraine war, drought and currency volatility have forced agility.
- **7. Sustainability and ethics:** Rising consumer demand for green packaging, fair trade and local sourcing.
- **8. Consolidation and exits:** Nakumatt, Tuskys and Uchumi exited; Naivas, Quickmart and Carrefour expanded — illustrating Darwinian retail dynamics.

QUESTION FIVE [15 marks]

(a) Discuss the concept of retail promotion mix. ***(9 marks)***

Answer:

The retail promotion mix is the integrated set of communication tools a retailer uses to inform, persuade and remind customers about its merchandise, services and brand. It comprises the following elements:

- **1. Advertising:** Paid mass-media communication — TV, radio, print, outdoor billboards, digital display ads (e.g. Naivas TV adverts, Quickmart radio jingles, Jumia bus-stop billboards).
- **2. Sales promotion:** Short-term incentives — discounts, coupons, BOGOF (buy-one-get-one-free), bundle deals, loyalty points (Naivas Linda Card).
- **3. Personal selling:** Face-to-face interaction with customers by sales associates — particularly important in fashion, electronics, cars, jewellery.

- **4. Public relations & publicity:** CSR activities, sponsorships, media coverage, community events (Safaricom Foundation, Naivas "Mtaa Wetu" community drives).
- **5. Direct marketing:** Personalised communication — SMS, email, WhatsApp Business, app push notifications.
- **6. Digital & social-media marketing:** Facebook, Instagram, TikTok, YouTube, search-engine marketing, influencer collaborations.
- **7. Visual merchandising & in-store displays:** Window dressings, end-caps, POP signage — silent salesmen.
- **8. Loyalty / CRM programs:** Long-term engagement through points, tiers, birthdays and personalised offers.

(b) Explain three factors affecting retailers. ***(6 marks)***

Answer:

- **1. Economic environment:** Inflation, currency depreciation, interest rates, unemployment and disposable income directly affect consumer spending power and the cost of imported merchandise. The 2022-23 inflation in Kenya forced retailers to revise prices weekly.
- **2. Technology:** E-commerce, mobile money, AI, cloud POS and automated logistics have lowered the cost of going omnichannel and raised customer expectations. Retailers that lag (Nakumatt, Uchumi) struggle.
- **3. Competition:** New entrants (Carrefour's 2016 entry into Kenya, super-apps like Glovo) and existing rivals continually pressure prices, assortments and service. Quickmart's sub-100-KES "value packs" forced rivals to respond.

Other factors worth knowing for full marks include: regulation (KEBS, Competition Authority, county licensing); social and cultural factors

(changing lifestyles, religious considerations during Ramadan, urbanisation); demographics (youth bulge, growing middle class); and the supplier landscape (consolidation among FMCG manufacturers).

QUESTION SIX [15 marks]

(a) Explain the specific functions of a retail supervisor. ***(10 marks)***

Answer:

A retail supervisor (or floor / department / store supervisor) is the front-line manager responsible for translating strategy into day-to-day execution on the shop floor. Specific functions include:

- **1. Staff supervision and rostering:** Allocating shifts, coaching cashiers and floor attendants, monitoring punctuality and grooming standards.
- **2. Customer service & complaint handling:** Being the first escalation point for customer queries; ensuring resolutions are fair and fast.
- **3. Visual merchandising & shelf management:** Implementing planograms, refreshing displays, ensuring price tags and POP material are correct.
- **4. Stock & inventory management:** Monitoring stock levels, raising replenishment requests, conducting cycle counts and shrinkage investigations.
- **5. Sales target tracking:** Reviewing daily/weekly KPIs (sales, AOV, UPT, conversion), motivating the team to hit them.
- **6. Cash & POS management:** Opening and closing tills, reconciling cash, managing M-PESA pay-bills, banking float.
- **7. Loss prevention:** Watching for shoplifting, internal pilferage, damage and waste; implementing controls.

- **8. Health, safety & hygiene:** Ensuring fire-safety compliance, cleanliness, PPE and food-safety standards (cold-chain, expiry).
- **9. Promotions implementation:** Setting up advertised offers correctly on the floor and at the till; communicating to staff.
- **10. Reporting upwards:** Daily/weekly reports to the store manager — sales, stock issues, staff issues, customer feedback.

(b) Discuss the emerging trends in the retail sector. ***(5 marks)***

Answer:

- **1. Omnichannel and phygital retail:** Seamless integration of physical and digital — BOPIS, ship-from-store, app-and-store loyalty.
- **2. AI & hyper-personalisation:** Recommendations, chatbots, dynamic pricing, generative-AI product copy and imagery.
- **3. Mobile money & mobile commerce:** M-PESA, Airtel Money, super-apps; >70% of Kenyan retail transactions touch mobile money.
- **4. Social commerce & live shopping:** TikTok Shop, Instagram, WhatsApp catalogues, live-stream selling.
- **5. Sustainability and circular retail:** Green packaging, reusable bags, refill stations, second-hand and resale markets.
- **6. Quick commerce / 15-minute delivery:** Dark stores and rider networks (Glovo, Bolt Food, Jumia Express).
- **7. Cashier-less and self-checkout stores:** Self-checkout kiosks (Naivas, Carrefour pilot stores), and globally Amazon Go.
- **8. Subscription & replenishment models:** Recurring orders for groceries, beauty, pet food.
- **9. AR / VR shopping experiences:** Virtual try-on for fashion, furniture and cosmetics.

- **10. Data-driven loyalty 2.0:** Tiered, gamified, personalised loyalty (Naivas Linda, Carrefour MyClub, Total Club).

PAPER THREE — JULY 2025

Instructions: Answer Question One and any other three questions.

QUESTION ONE [Compulsory — 25 marks]

(a) Use the PESTEL Analysis of a retail business and cite notable examples here in Kenya. ***(5 marks)***

Answer:

PESTEL analyses the macro-environment in which a retailer operates across six dimensions:

- **P – Political:** Government stability, taxation policy, county licensing, trade agreements (EAC, AfCFTA). E.g. higher fuel levies and VAT changes affect retail pricing decisions.
- **E – Economic:** Inflation, exchange rates (KES vs USD), interest rates and disposable income. The 2022-23 inflation forced supermarkets like Naivas to introduce value packs.
- **S – Social/Cultural:** Urbanisation, youth bulge, rising middle class, religious considerations (halal aisles for Eastleigh shoppers, Ramadan promotions), changing family structures.
- **T – Technological:** M-PESA, smartphones, fibre internet, AI, e-commerce platforms. Jumia, Glovo and Naivas Now are direct beneficiaries.
- **E – Environmental/Ecological:** Plastic-bag ban (NEMA 2017), drought affecting fresh produce supply, sustainability expectations.
- **L – Legal:** Consumer Protection Act 2012, Competition Act, Data Protection Act 2019, KEBS standards, food-safety regulations, employment law.

(b) Discuss the role of social-media marketing in creating brand awareness. How do Kenyan retailers like Jumia use social media to boost sales? ***(5 marks)***

Answer:

Social-media marketing uses platforms such as Facebook, Instagram, TikTok, X (Twitter), YouTube and WhatsApp to build brand awareness, engage customers and drive sales. Roles in brand awareness include:

- **Reach & visibility:** Paid and organic posts put the brand in front of millions cheaply.
- **Two-way engagement:** Comments, DMs and reviews build relationships.
- **Influencer marketing:** Trusted creators amplify the message to targeted audiences.
- **User-generated content:** Customer photos and reviews create authentic social proof.
- **Targeted advertising:** Demographic, interest and look-alike targeting minimises waste.
- **Community building:** Branded hashtags, groups and challenges build tribe-like loyalty.

Jumia in Kenya specifically uses: (i) flash-sale campaigns ("Jumia Black Friday", "Mobile Week", "Jumia Anniversary") amplified across Instagram, TikTok and Facebook; (ii) influencer partnerships with local celebrities and micro-influencers to demo products; (iii) targeted Facebook/Instagram ads with retargeting on abandoned carts; (iv) live shopping streams; (v) WhatsApp Business catalogues and customer-care; and (vi) JumiaPay promotions driving conversion.

(c) Using the ABC analysis method, how might a retailer categorise products like sugar, electronics or stationery? Why is this classification useful in inventory planning? ***(6 marks)***

Answer:

ABC analysis (also known as the Pareto or 80/20 rule) classifies inventory items into three groups based on their contribution to sales value (or profit):

- **A-items (high value, ~10-20% of SKUs, ~70-80% of sales):** Top-selling, high-margin items requiring tight control. E.g. fast-moving sugar (Mumias, Kabras) and best-selling smartphones (Tecno, Samsung A-series, iPhone) in an electronics store.
- **B-items (moderate value, ~30% of SKUs, ~15-20% of sales):** Mid-tier items requiring routine control. E.g. mid-range stationery brands, mid-range televisions and home-appliances.
- **C-items (low value, ~50% of SKUs, ~5-10% of sales):** Slow-moving long-tail items requiring relaxed controls. E.g. specialty stationery (calligraphy pens, rare colours), niche electronics accessories, premium-brand sugar.

Usefulness in Inventory Planning

- **Focus management attention:** A-items get daily monitoring, accurate forecasts and frequent replenishment.
- **Optimise working capital:** B and C items are reviewed less often; C items may be moved to vendor-managed inventory or delisted.
- **Reduce stock-outs on critical items:** A-items receive safety-stock buffers because their stock-out is most damaging.
- **Avoid over-stocking the long tail:** C-items get tighter caps and more aggressive markdown discipline.
- **Negotiation leverage:** A-item suppliers receive priority negotiation and volume contracts.
- **Supports SKU rationalisation:** Persistent C-items that earn no margin are candidates for delisting.

(d) Formulate the Strategic Planning Process in a retail unit of a business. ***(7 marks)***

Answer:

The strategic planning process in a retail unit follows a structured cycle:

- **1. Define mission, vision and values:** Why we exist, what we aspire to, how we behave (e.g. Naivas: "Serving you better").
- **2. Environmental scanning:** Internal (SWOT) and external (PESTEL + Porter's 5-Forces) analysis.
- **3. Set strategic objectives:** SMART goals — sales growth, market share, NPS, GMROI, store-count.
- **4. Identify target market & positioning:** Segmentation, targeting, differentiation, positioning statement.
- **5. Formulate the retail mix strategy:** Merchandise, pricing, store/format, location, communications, service.
- **6. Resource allocation:** Capital, people, technology, inventory budget (Open-to-Buy).
- **7. Implementation & execution:** Roll out plans across stores, channels and functions.
- **8. Performance monitoring & control:** KPI dashboards, balanced scorecards, periodic reviews.
- **9. Feedback and continuous improvement:** Refine the plan based on results — loop back to step 2.

(e) What do you understand by the term "Visual Merchandising"? ***(2 marks)***

Answer:

Visual Merchandising (VM) is the strategic art and practice of presenting products in a retail environment — through window displays, store layout, fixtures, lighting, colour, signage and props — to attract

attention, communicate the brand identity, guide customer flow and drive sales. In short, it is "the silent salesperson" of the store.

QUESTION TWO [15 marks]

(a) How can retail businesses use email marketing to enhance customer engagement and loyalty? What types of offers or content should they focus on? ***(6 marks)***

Answer:

Email marketing is one of the highest-ROI channels in retail because it is owned (no platform fee), permission-based and easily personalised. Retailers can use it to enhance engagement and loyalty by:

- **Welcome / onboarding series:** Set expectations, share brand story, offer a first-purchase discount.
- **Personalised product recommendations:** Based on browsing, purchase and loyalty history.
- **Abandoned-cart and browse-recovery emails:** Recover lost sales — typically 10-15% recovery rate.
- **Loyalty updates:** Points balance, tier upgrades, expiry reminders, birthday rewards.
- **Post-purchase follow-up:** Order confirmation, shipping updates, review request, replenishment reminders.
- **Educational & lifestyle content:** Recipes, styling tips, how-to guides — keeps the brand top-of-mind.
- **VIP/early-access offers:** Reward best customers with first look at sales, limited editions, exclusive events.

Types of Offers / Content to Focus On

- Time-bound discounts and flash sales (24-72 hours).
- Free-shipping or free-delivery thresholds.

- Bundle deals and "Buy More, Save More".
- Birthday & anniversary offers.
- Seasonal/holiday campaigns (Easter, Madaraka, Eid, Christmas).
- Refer-a-friend incentives.
- New-arrival announcements with imagery and quick-shop links.

(b) With the rise of the internet and mobile technology, digital marketing has become essential in retail. List and explain various online channels retailers use to market and engage customers. ***(6 marks)***

Answer:

- **1. Brand website / e-commerce store:** Owned digital storefront — the hub for content, product, search and checkout.
- **2. Mobile app:** Personalised, push-notification capable, often integrated with loyalty (Naivas Now, Carrefour app).
- **3. Search-engine marketing (SEM/SEO):** Google Ads + organic SEO capture purchase intent at the moment customers search.
- **4. Social-media platforms:** Facebook, Instagram, TikTok, X, LinkedIn, Pinterest, YouTube — for awareness, engagement, social commerce.
- **5. Email marketing:** Newsletters, promotions, transactional, lifecycle campaigns.
- **6. SMS & WhatsApp Business:** High open rates; ideal for order confirmations, promos, customer service in Kenya.
- **7. Influencer marketing:** Partnering with macro and micro influencers for reach and credibility.
- **8. Online marketplaces:** Selling on Jumia, Kilimall, Sky.Garden, Glovo Market.

- **9. Content marketing & blogs:** Long-form content (recipes, buying guides) for SEO and brand authority.
- **10. Programmatic display & retargeting:** Banner ads served across the web to past visitors, lifting conversion.
- **11. Affiliate marketing:** Pay partners a commission for sales they refer.

(c) What are the challenges of implementing CRM systems in small retail shops in Kenya? ***(3 marks)***

Answer:

- **High upfront cost:** Software licences, hardware, training and integration are unaffordable for many SMEs.
- **Limited ICT skills & literacy:** Owners and staff often lack the technical expertise to set up and maintain CRM systems.
- **Poor and inconsistent data quality:** Customer details captured manually are incomplete or inaccurate, undermining the CRM's value.
- **Unreliable infrastructure:** Frequent power outages, costly data and unstable internet hamper cloud-based CRMs.
- **Cultural and trust barriers:** Customers are reluctant to share personal data; concerns about privacy and SMS spam.
- **Integration with M-PESA, POS and stock:** Many off-the-shelf CRMs are not built for the Kenyan payment ecosystem.
- **Owner mindset:** Many small retailers focus on transactions, not relationships — CRM is seen as overhead, not investment.

QUESTION THREE [15 marks]

(a) How has the growth of mobile-payment systems like M-PESA impacted e-commerce in Kenya? Provide examples from local platforms. ***(7 marks)***

Answer:

Since its launch by Safaricom in 2007, M-PESA has transformed Kenya into one of the most mobile-money-penetrated economies in the world (>96% of adults). Its impact on e-commerce has been profound:

- **1. Closed the payment gap:** Before M-PESA, low credit-card penetration crippled online shopping. M-PESA enabled instant, trusted digital payment for the unbanked majority.
- **2. Reduced cash-on-delivery (COD) reliance:** Jumia, Kilimall and others have steadily shifted from costly COD to upfront M-PESA payment via Lipa Na M-PESA / STK push.
- **3. Boosted SME e-commerce:** WhatsApp/Instagram boutiques can now collect payment via Pay Bill or Buy Goods seconds after agreeing on a sale — no need for a merchant account.
- **4. Enabled fintech and BNPL ecosystems:** M-PESA Overdraft (Fuliza), KCB-M-PESA, M-Shwari, and BNPL apps like Lipa Later, Aspira and Flexpay let consumers pay in instalments.
- **5. Fuelled gig-economy logistics:** Glovo, Bolt Food, Little Riders, Sendy and Jumia Logistics riders are paid and tipped via M-PESA — making last-mile delivery viable.
- **6. Powered super-apps:** M-PESA Super App now bundles bill-pay, shopping, transport and savings — pulling commerce inside the wallet.
- **7. Cross-border and B2B reach:** M-PESA Global enables remittances; PesaLink and M-PESA Pay Bill enable B2B settlement between retailers and suppliers (e.g. Twiga Foods' B2B platform).

Local platform examples: Jumia (STK push checkout), Naivas Now, Carrefour app, Glovo, Bolt Food, Twiga Foods, Copia, Lipa Later, KCB Vooma, and thousands of WhatsApp/Instagram-based micro-retailers across Nairobi, Mombasa, Kisumu and Eldoret.

(b) Elaborate on inventory-control techniques available to retailers. ***(8 marks)***

Answer:

- **1. Economic Order Quantity (EOQ):** A formula that calculates the order quantity minimising total ordering + holding cost. Best for stable-demand SKUs.
- **2. Just-in-Time (JIT):** Inventory is ordered only as needed — minimises holding cost but requires reliable suppliers (e.g. fresh produce in Carrefour).
- **3. ABC Analysis:** Pareto-based classification of SKUs by sales value to focus tight controls on the most important items.
- **4. Reorder-Point (ROP) System:** Triggers a new order when stock falls to a predefined level (lead-time × demand + safety stock).
- **5. Periodic Review System:** Stock is reviewed at fixed intervals (weekly, monthly) and topped up to a target level.
- **6. Continuous / Perpetual Inventory:** Real-time tracking via POS/barcode/RFID; gives live stock visibility.
- **7. First-In-First-Out (FIFO) and First-Expired-First-Out (FEFO):** Critical for perishables (dairy, fresh produce, pharmaceuticals) to minimise waste.
- **8. Vendor-Managed Inventory (VMI):** The supplier monitors and replenishes stock at the retailer's shelf — common with Coca-Cola, EABL, Bidco at Kenyan supermarkets.
- **9. Cycle Counting:** Continuous spot stock-takes throughout the year instead of one big annual count — improves accuracy.
- **10. Safety-Stock & Buffer Inventory:** Extra stock held to cushion against demand spikes or supply delays.
- **11. Drop-shipping:** Retailer accepts the order; supplier ships directly to the customer — zero retailer inventory.

- **12. RFID & barcode automation:** Technology-enabled accuracy and shrinkage control.

QUESTION FOUR [15 marks]

(a) What cultural considerations should retailers in Kenya keep in mind when designing signage and store displays? ***(6 marks)***

Answer:

- **1. Language and literacy:** Use both English and Kiswahili (and sometimes local languages — Kikuyu, Luo, Luhya, Kalenjin, Somali) in signage to be inclusive.
- **2. Religious sensitivity:** Respect Muslim, Christian and Hindu sensibilities — halal labelling for the Eastleigh and Coast markets, modest mannequin styling, separate displays for alcohol where appropriate.
- **3. Colour symbolism:** Black is used in mourning in some communities; red is celebratory; green is associated with agriculture and Islam. Avoid colour clashes that send unintended signals.
- **4. Imagery and representation:** Use diverse, locally-relatable models (skin tones, age, gender, ability). Avoid imported imagery that does not resonate.
- **5. Festivals and seasonality:** Plan for Christmas, Easter, Madaraka, Jamhuri, Eid, Diwali, Ramadan, Back-to-School, Valentines — with appropriate themes.
- **6. Modesty and decency:** In family-oriented Kenyan culture, very revealing imagery may offend; aim for tasteful, family-friendly visuals.
- **7. Local pride:** "Made in Kenya", "Buy Kenya, Build Kenya" and "Pesa ya Wakenya" messaging resonates strongly.

- **8. Currency display:** Always display prices in KES, with VAT-inclusive figures, in clear, large fonts.

(b) What factors should a retailer consider when selecting a local supplier in Kenya? ***(5 marks)***

Answer:

- **1. Quality & consistency:** Ability to meet KEBS standards and the retailer's specifications consistently.
- **2. Price & cost competitiveness:** Total landed cost (price + transport + duties + losses) compared to alternatives.
- **3. Reliability & lead time:** On-time-in-full (OTIF) record; capacity to scale with demand spikes (festive season).
- **4. Capacity & financial stability:** Audited accounts; ability to honour large orders without collapse.
- **5. Compliance & ethics:** Tax compliance (KRA PIN/iTax), labour standards, environmental compliance (NEMA), no child labour.
- **6. Geographic location & logistics:** Proximity to retailer's DC reduces transport cost and lead time.
- **7. Payment terms & flexibility:** Credit days, M-PESA acceptance, ability to invoice on consignment.
- **8. Innovation & product range:** Ability to introduce new SKUs and respond to market trends.
- **9. Reputation & references:** Track record with other retailers, consumer reviews.
- **10. After-sales & service support:** Returns, warranty handling, marketing support, merchandising assistance.

(c) Why is it important for retailers to monitor technological trends? ***(4 marks)***

Answer:

- **1. Stay competitive:** Failure to adopt e-commerce, mobile payments or modern POS leads to loss of market share — Nakumatt being the cautionary tale.
- **2. Meet evolving customer expectations:** Customers expect mobile checkout, free Wi-Fi, self-checkout, BOPIS and personalised offers.
- **3. Improve operational efficiency:** Cloud POS, automated inventory, AI demand-forecasting and RFID cut costs and shrinkage.
- **4. Better customer insights:** Loyalty programs, CDPs and analytics turn data into personalised marketing and merchandising decisions.
- **5. Spot disruptive threats early:** Live shopping, dark stores and 15-minute delivery can erode share quickly if missed.
- **6. Enhance security & loss prevention:** Biometrics, CCTV-AI analytics, fraud-detection in payments protect margin.
- **7. Compliance:** New laws (Data Protection Act 2019, e-invoicing TIMS / eTIMS by KRA) require technological adaptation.

QUESTION FIVE [15 marks]

(a) Should Kenyan retailers invest in custom inventory software or use off-the-shelf solutions? Why? ***(6 marks)***

Answer:

The choice depends on the size, complexity and strategic ambitions of the retailer.

Off-the-Shelf Solutions (Recommended for SMEs)

- **Examples:** QuickBooks POS, Vend (Lightspeed), Loyverse, Zoho Inventory, Odoo, Sage, ERPNext.

- **Advantages:** Lower upfront cost, faster deployment (days/weeks), proven reliability, vendor support, regular updates, good integration with M-PESA, KRA eTIMS, Excel and accounting systems.
- **Disadvantages:** Limited customisation, you adapt your processes to the software, recurring subscription cost.

Custom Software (Justified for Large or Complex Chains)

- **Advantages:** Tailored to unique processes (e.g. Naivas' multi-format network, Carrefour's import workflows), competitive differentiation, tighter integration with proprietary loyalty/CRM, full ownership of the IP and data.
- **Disadvantages:** Very high cost (millions of shillings), long development time (12-24 months), risk of over-engineering, ongoing maintenance and developer dependency.

Recommendation: most Kenyan retailers — especially SMEs and growing mid-market chains — should start with a proven off-the-shelf solution and graduate to a hybrid (off-the-shelf core + custom modules via APIs) once volume and process complexity justify the investment. Only the very largest chains (Naivas, Quickmart, Carrefour) can justify fully custom systems.

(c) Imagine you are a buyer for a mid-sized retailer in Kenya — what criteria would you use to select suppliers for fresh vegetables? ***(5 marks)***

Answer:

- **1. Freshness and quality consistency:** Daily-harvest produce, properly graded; meets KEBS and HACCP standards.
- **2. Reliability and on-time delivery:** Daily or twice-daily deliveries — fresh produce has a 24-72 hour window.
- **3. Cold-chain capability:** Refrigerated transport from Mwea/Limuru/Naivasha farms to the store; reduces wastage.

- **4. Price competitiveness:** Wholesale price within market range; volume discounts available.
- **5. Geographic proximity:** Close to Nairobi (Limuru, Kiambu, Kajiado, Mai Mahiu) reduces transport cost and CO_2 footprint.
- **6. Capacity & seasonal flexibility:** Can scale up for festive periods; aggregator model (e.g. Twiga Foods) helps smooth supply.
- **7. Compliance:** Ministry of Agriculture certification, food-safety records, KEBS labelling for packaged lines.
- **8. Sustainability:** Use of safe pesticides, water-efficient irrigation, fair-trade for smallholder farmers.
- **9. Payment & credit terms:** M-PESA acceptance, reasonable credit days (7-14 days for fresh produce).
- **10. Returns / wastage policy:** Willingness to take back damaged or unsold stock at agreed terms.

(d) What are some challenges Kenyan retailers face when forecasting demand during inflation or political uncertainty? ***(4 marks)***

Answer:

- **1. Volatile consumer spending:** Inflation erodes disposable income; consumers down-trade and switch brands unpredictably.
- **2. Currency volatility:** KES depreciation against USD increases the cost of imported goods overnight, distorting price-elasticity assumptions.
- **3. Supply-chain disruption:** Fuel shortages, fuel-price hikes, port congestion (Mombasa) and political demonstrations (e.g. 2024 Gen-Z protests) interrupt deliveries.
- **4. Panic buying & hoarding:** Around elections or fuel-price announcements, demand spikes for staples (sugar, cooking oil, maize flour) — historical data fails to predict.

- **5. Frequent price changes:** Suppliers raise prices weekly; planogram pricing and promotions become hard to lock down.
- **6. Reduced data reliability:** Historical sales patterns are no longer predictive; AI/ML models need frequent re-training.
- **7. Working-capital strain:** Higher inflation increases the cost of carrying inventory; over-forecasting locks up cash.

QUESTION SIX [15 marks]

(a) In what ways can retailers influence the purchasing decisions of consumers? ***(3 marks)***

Answer:

- **Visual merchandising & store layout:** Placement of high-margin items at eye-level, end-cap displays and check-out impulse zones.
- **Pricing tactics:** Charm pricing (Ksh 999 vs 1,000), bundle discounts, BOGOF, anchor pricing.
- **Promotions and advertising:** Sales, flash deals, coupons, seasonal campaigns.
- **In-store sampling and demonstrations:** Tasting stations, beauty consultants, tech demos.
- **Personal selling and recommendations:** Trained staff who up-sell and cross-sell.
- **Loyalty programs and rewards:** Points, tiers, birthday offers (Naivas Linda).
- **Sensory marketing:** Music, scent, lighting and colour to influence mood and dwell time.
- **Digital personalisation:** AI-driven recommendations, retargeting, personalised emails.
- **Social proof:** Reviews, testimonials, user-generated content, influencer endorsements.

(b) Expound on the Retailing Mix — why does it matter to a retail business' operations? ***(6 marks)***

Answer:

The Retailing Mix (also called the "6 Ps" of retail) is the combination of controllable variables a retailer uses to satisfy its target market and achieve its objectives. The classic elements are:

- **1. Product (Merchandise assortment):** Width, depth, quality, brand mix and private-label strategy.
- **2. Price:** Pricing strategy (EDLP, High-Low, prestige), discounts, loyalty pricing, dynamic pricing.
- **3. Place (Location & channels):** Store location, format, omnichannel reach (physical + digital + delivery).
- **4. Promotion:** Advertising, sales promotion, PR, digital marketing, in-store communication.
- **5. People (Staff and service):** Recruitment, training, motivation, customer-service standards.
- **6. Presentation (Store atmospherics & visual merchandising):** Layout, fixtures, lighting, signage, scent, music — the in-store experience.

Why It Matters

- **Strategic alignment:** Each element must reinforce the brand position (e.g. Vivo Activewear's premium pricing must be matched by premium presentation and service).
- **Differentiation:** A unique mix is hard for competitors to replicate, building defensible advantage.
- **Customer satisfaction & loyalty:** A coherent mix delivers on the promise the customer expects.

- **Profitability:** Right product at right price, in right place, with right people drives sales and margin.
- **Adaptability:** The mix can be adjusted as the market shifts — e.g. adding e-commerce post-COVID, expanding private-label during inflation.

(c) Imagine you are setting up a loyalty program for a new grocery store in Kisumu. What features would you include to make it effective? ***(6 marks)***

Answer:

A successful Kisumu grocery loyalty program must be simple, mobile-first and locally relevant. Core features:

- **1. Easy sign-up via phone number / M-PESA:** No need for plastic cards or e-mail; one-time verification.
- **2. Earn-and-burn points system:** E.g. 1 point per Ksh 100 spent; 100 points = Ksh 50 off next purchase.
- **3. Tiered membership:** Bronze, Silver, Gold based on annual spend, with escalating benefits.
- **4. Personalised offers:** Targeted discounts on items members buy often (e.g. Omena, Sukuma Wiki, Ugali flour).
- **5. Birthday and anniversary rewards:** Free gift or double points around the member's special day.
- **6. M-PESA integration:** Pay and earn in one STK push; cash-back directly to M-PESA.
- **7. Family / household sharing:** Allow points pooling among related phone numbers — popular in Kenyan family shopping.
- **8. Seasonal & community campaigns:** Bonus points during back-to-school, Christmas, Sondu farmers' market season.
- **9. Referral rewards:** Refer a friend → both get bonus points.

- **10. WhatsApp and SMS communication:** High open-rate channels in Kenya; in Kiswahili and English.
- **11. Easy redemption at till and online:** No friction — cashier scans the phone number; app shows balance.
- **12. Data-driven personalisation:** Use loyalty data to refine assortment, pricing and marketing for the Kisumu shopper.
- **13. Charitable giving option:** Allow members to donate points to a local cause (e.g. school feeding, Lake Victoria clean-up) — builds emotional brand bond.

EXAM TECHNIQUE — FINAL POINTERS

When tackling the actual paper, allocate time strictly in proportion to marks (≈1.8 minutes per mark in a 3-hour, 100-mark paper). Always: (1) underline the command word — define, discuss, explain, evaluate, illustrate, compare; (2) structure with sub-headings and bullets; (3) anchor with a Kenyan example for every major concept; (4) end "discuss" answers with a short critical comment or limitation; (5) keep your handwriting legible and your answer-booklet tidy. These habits add up to 5-10 marks across a paper.

Good luck Mourice — revise actively, write structured answers and walk into the exam confident.